

Banking Offence and Punishment Act, 2064

Banking Kasoor tatha Sajaya Ain, 2064

1. Executive Summary

The Banking Offence and Punishment Act, 2064 defines crimes related to banking and financial transactions in Nepal and prescribes strict punishments. This Act protects depositors, prevents financial fraud, and ensures security for financial transactions.

2. Core Banking Offences Defined

- **Unauthorized Accounts:** Opening accounts or demanding withdrawals without authorized credentials (Section 3).
- **Check Bounce (Section 7):** Issuing checks knowing there is no balance in the account, or deliberately blocking payment. This is a criminal offence.
- **Collateral Valuation Fraud:** Inflating the value of property or collateral to get a higher loan (Section 15). Crucial for credit officers.
- **Loan Misuse:** Using loans for purposes other than what was approved in the credit agreement.
- **Unauthorized Access:** Hacking, modifying, or accessing CBS (Core Banking System) or customer cards illegally.

3. Punishments and Penalties

Check Bounce Punishment (Section 7 & 15):

If a check bounces, the offender faces:

- Repayment of the check amount to the victim.
- A fine equivalent to the check amount.
- Imprisonment for up to 3 months depending on severity.

Collateral Valuation & Loan Fraud:

- Return of the loan amount (claim recovery).
- Fines up to the loan value.
- Imprisonment from 1 to 5 years depending on the fraud amount.

4. Internal Staff Liability

If any bank employee (director, CEO, officer, teller) is found colluding, facilitating, or directly committing a banking offence, they are subject to double the standard punishment under Section 17. The bank will also immediately fire them and blacklist them.